

Dr Reddys Laboratories Ltd

DRREDDY | Healthcare | Pharmaceuticals

ROE

N/A

ROCE

N/A

REVENUE CAGR 5Y

12.6%

NET PROFIT

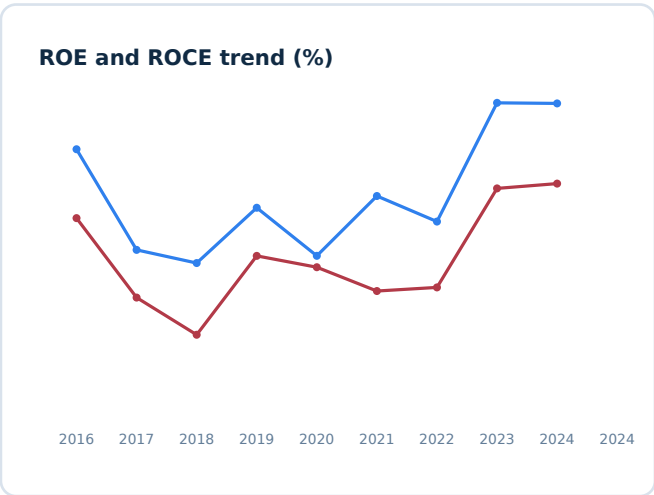
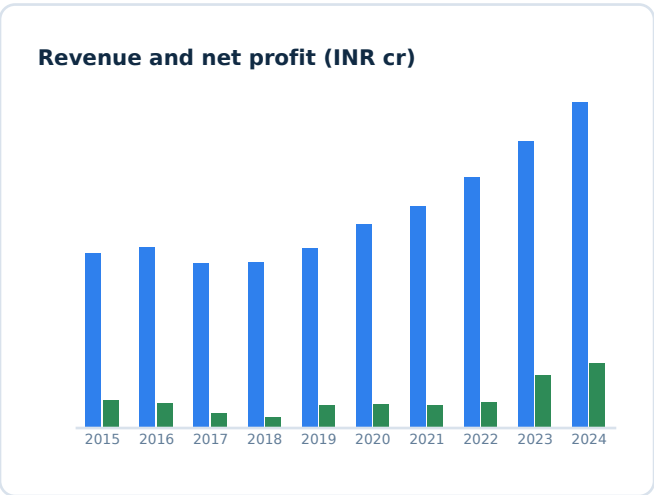
5,578 cr

DEBT / EQUITY

0.2x

BORROWINGS

4,854 cr

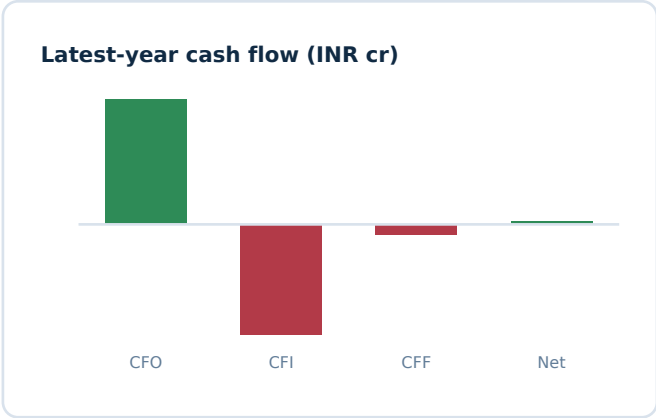
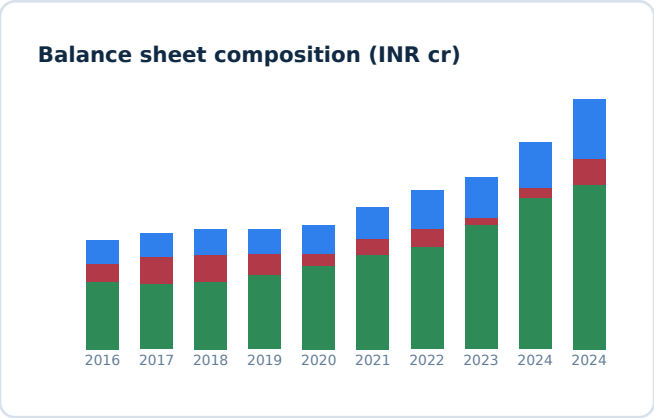


Coverage: 10 annual observations shown; latest financial year: 2024-03

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NIFTY 100 INTELLIGENCE | PAGE 2



Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION

Reinvestor

Source: canonical Nifty 100 SQLite financial statements and generated intelligence outputs.